

previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

17. 9:00 AM CASE NUMBER: MSC21-01751
CASE NAME: JOSE BELTRAN VS. MONUMENT CONSTRUCTION INC
HEARING IN RE: COMPLIANCE HEARING SET BY THE COURTROOM
FILED BY:

TENTATIVE RULING:

Based on the declaration of the Settlement Administrator, the settlement has been largely implemented, but the uncashed distributed paychecks will not be voided until May 7, 2026. **A further compliance hearing is set for May 21, 2026, 9:00 a.m. Plaintiff is to provide a declaration one week before the hearing updating the implementation.** The 5% of the attorney's fees currently held by the settlement administrator shall continue to be withheld pending further court order at the compliance hearing.

18. 9:00 AM CASE NUMBER: MSC22-00286
CASE NAME: EQUITY FIRST PROPERTY VS FIVE HILLS
HEARING ON DEMURRER TO: FIRST AMENDED CROSS COMPLAINT FILED BY: EQUITY FIRST
PROPERTY MANAGEMENT A CALIFORNIA CORPORATION
FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by plaintiffs and cross-defendants Equity First Property Management dba Equity First Real Property and Management and Shops at Fairview to the first amended cross-complaint. For the reasons set forth, the general demurrers to the first and second causes of action are **sustained, with leave to amend**. Cross-complainant shall file any amended cross-complaint **by December 5, 2025**.

Background

This action arises out of business disputes over defendant and cross-complainant Five Hills, L.P.'s ownership of a commercial property located in a shopping center known as The Shops at Fairview which is managed by Equity First Property Management. Equity First and Shops at Fairview sued Five Hills for amounts they claim are owed for repair and maintenance costs included in the Five Hills share of the common area expenses. Five Hills filed a first amended cross-complaint ("FACC") against Equity First and Shops at Fairview, alleging four causes of action against Equity First and Shops at Fairview for fraud, abuse of process, accounting, and declaratory relief.

Standards Governing Ruling on Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the FACC, but not " 'contentions, deductions or conclusions of fact or law.' " (*Blank v. Kirwan* (1985) 39

Cal.3d 311, 318.) The Court gives the FACC "a reasonable interpretation, reading it as a whole and its parts in their context." (*Blank v. Kirwan, supra*, 39 Cal.3d at 318.) The allegations of the FACC "must be liberally construed" in Cross-Complainants' favor. (Code Civ. Proc. § 452; *Garton v. Title Ins. & Trust Co.* (1980) 106 Cal.App.3d 365, 376 ["The test on demurrer is not whether the allegations are likely to be proven but whether the allegations preclude liability, and the allegations must be construed liberally in favor of the pleader," citing *Skopp v. Weaver* (1976) 16 Cal.3d 432].) A demurrer can only be sustained if it disposes of an entire cause of action, not if only part of the cause of action is deficient. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683 [holding trial court erred in sustaining demurrer to a portion of malpractice and breach of contract causes of action]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 39.)

Compliance with Meet and Confer Requirement

On October 24, 2025, moving parties filed a declaration of counsel attesting that the parties conducted a telephone conference in accordance with the meet and confer requirement of Code of Civil Procedure section 430.41(a) and the Court's October 15, 2025 tentative ruling. The requirement has been satisfied, and the Court now rules on the merits of the demurrer.

Analysis

Cross-defendants filed a general demurrer challenging the first cause of action for fraud and second cause of action for abuse of process for failure to allege facts sufficient to state these causes of action and failure to plead all elements of the causes of action. They also assert that the abuse of process cause of action is barred by the litigation privilege.

A. Demurrer to First Cause of Action (Fraud)

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) (*See also Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 234.) "In California, fraud must be pled specifically; general and conclusory allegations do not suffice. [Citation omitted.]" (*Lazar, supra*, 12 Cal.4th at 645 [citing among others *Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 74 and stating the policy of liberal construction of pleadings does not apply to a fraud claim].) The specificity requirement means the pleading must allege " 'how, when, where, to whom, and by what means the representations were tendered.' [Citation, italics, and some internal quotation marks omitted.]" (*Lazar, supra*, 12 Cal.4th at 645.)

The specificity requirement when alleging a claim for fraud against a corporation also requires more

than generic allegations of fraud against the corporate entity. "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Lazar, supra*, 12 Cal.4th at 645.) Cross-defendants contend the first cause of action does not allege the elements of fraud with specificity.

1. Five Hills' Allegations

Five Hills alleges after Shops at Fairview acquired the shopping center, it engaged Equity First as its property manager. (FACC ¶ 2.) Five Hills alleges cross-defendants "substantially and inexplicably" increased the repair and maintenance costs at the shopping center beginning in 2020. (FACC ¶ 4.) Cross-defendants billed Five Hills for common area expenses which Five Hills disputed and for which cross-defendants failed to provide a sufficient accounting. (FACC ¶ 5.) The obligation of the property owners to pay their proportionate share of common area expenses is reflected in the Reciprocal Easement Agreement and Declaration of Covenants, Conditions and Restrictions dated August 31, 2006 ("REA") on which Five Hills relies and alleges is attached as Exhibit A to the First Amended Complaint filed by Equity First and Shops at Fairview. (FACC ¶ 17.)

Five Hills alleges repair and maintenance fees were \$30,987.19 in 2019 (supposedly reflected in an Exhibit A to the FACC, but no exhibit is attached), and that repair and maintenance fees substantially increased in 2020 through 2023, ranging from \$53,346.34 to \$68,632.04 reflected in accountings attached as Exhibit B to the first amended complaint by Equity First and Shops at Fairview. (FACC ¶¶ 19, 20.) Five Hills requested an accounting under section 5.2 of the REA; cross-defendants failed to respond or comply. (FACC ¶¶ 24, 29.)

Five Hills alleges Equity First represented it incurred repair and maintenance costs for 2020 through 2023 in the range set forth above. (FACC ¶ 20, 33.) Five Hills alleges Equity First "misrepresented" the repair and maintenance expenses were reasonable and necessary and "concealed" that the costs were paid to "contractor(s) owned by or associated with the Shops at Fairview." (FACC ¶ 35.) Five Hills alleges Equity First made the misrepresentations the expenses were reasonable and necessary "with intent" for Five Hills to pay the expenses "without learning they were unnecessary and excessive" and paid to contractors associated with Shops at Fairview. (FACC ¶ 36.) Five Hills alleges it relied on the representations and made common area expense payments which included unnecessary and excessive repair and maintenance expenses. (FACC ¶ 37.)

2. Deficiencies in Five Hills' Allegations

Five Hills does not allege when it requested an "accounting," from whom, and in what manner. Five Hills does not allege who, how, and in what manner Equity First "concealed" that the contractors were associated with Shops at Fairview, that Equity First intentionally concealed the fact contractors were associated with Shops at Fairview with intent to defraud Five Hills, and despite Equity First having a duty to disclose the association to Five Hills.

Five Hills also does not allege when, how, to whom, and in what manner First Equity represented that the repair and maintenance costs were "necessary" or "reasonable." If Five Hills contends the delivery of the annual reconciliations was the representation in that regard, that fact should be specifically alleged. Five Hills does not allege that Equity First made the alleged misrepresentation with

knowledge of the alleged falsity of the representation the expenses were reasonable and necessary, and with intent to defraud Five Hills. The allegation that Equity First intended that Five Hills pay the expenses is not the same as an allegation that Equity First intended to defraud Five Hills.

Five Hills has also not alleged that it justifiably relied on the alleged representation of reasonableness and necessity of the expenses, particularly in light of Five Hills' other allegations that (a) Five Hills demanded accountings because of the substantial increases in the repair and maintenance expenses; (b) Five Hills did not pay all the amounts claimed to be due by Equity First in the reconciliations; and (c) Five Hills alleges that it was being "punished" by Equity First for complaining about the excessive expenses and demanding accountings when it was sued for the unpaid amounts Equity First claimed were due. (FACC ¶¶ 24, 29, 30.) These deficiencies warrant sustaining the general demurrer to the first cause of action for failure to allege facts sufficient to state this cause of action.

3. Economic Loss Rule

Defendants also raise the economic loss rule, as explained in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The issue as framed in *Rattagan* and the decisions on which *Rattagan* relied is: under what circumstances can a party to a contract seek tort recovery against the other party to the agreement for claims arising out of the subject matter of the contract? The Court in *Rattagan* explained that the economic loss rule is a "specific application" of the "independent tort principle" doctrine differentiating between contract and tort obligations, which it describes in exhaustive detail. (*Rattagan, supra*, 17 Cal.5th at 37.)

The Court explained, "[T]ort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Id.* at 20-21 [emphasis added].)

The Court in *Rattagan* explains that tort and contract obligations differ. "The 'independent tort principle,' and its specific application in our economic loss rule cases, honors those differences. . . . A tort remedy arises, not based on an agreement between the parties, but because the defendant has violated a societal duty that the law itself imposes on everyone. A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37.) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

It is not clear whether the fraud or concealment alleged in the FACC is independent of, or anything

more than, a violation of contractual obligations under the REA. Given the other deficiencies in the FACC to state a claim for fraud or fraudulent concealment, the Court declines to rule on the alternative ground for the demurrer based on the economic loss rule at this point.

The demurrer to the first cause of action is **sustained, with leave to amend**. Leave to amend this cause of action includes leave to re-allege the claim in an amended complaint as a cause of action for breach of contract if Five Hills elects to do so. (*See* Opp. Section V.)

B. Demurrer to Second Cause of Action (Abuse of Process)

The essential elements of a claim for abuse of process are: " 'first, an ulterior purpose, and second, a wilful [sic] act in the use of process not proper in the regular conduct of the proceeding.' " (Defendants cite *Templeton Feed & Grain v. Ralston Purina Co.* (1968) 69 Cal.2d 461, 465-466 [some internal quotation marks omitted].) (*See also Rusheen v. Cohen* (2006) 37 Cal.4th 1048, 1057 ["To succeed in an action for abuse of process, a litigant must establish that the defendant (1) contemplated an ulterior motive in using the process, and (2) committed a willful act in the use of the process not proper in the regular conduct of the proceedings. [Citation omitted.]").) For the first element, the ulterior purpose " '*usually takes the form of coercion to obtain a collateral advantage, not properly involved in the proceeding itself, such as the surrender of property or the payment of money, by the use of process as a threat or a club.*' " (*Id.* [italics in opinion, some internal quotation marks omitted].) The second element requires " '*an act or threat not authorized by the process, or aimed at an objective not legitimate in the use of the process.*' " (*Id.* at 466.) For purposes of the second element, carrying out the process to its authorized conclusion, even with bad intentions, does not support liability. (*Id.*)

1. Cross-Complainant's Allegations

Relevant to the abuse of process claim, Five Hills alleges Equity First did not serve Five Hills with the complaint for unpaid common area expenses at its proper location for notice under the REA but instead at the Dollar Tree located at the property owned by Five Hills. (FACC ¶¶ 7, 10, 25.) Equity First obtained a default judgment against Five Hills, and the amount of damages in the default judgment of \$33,696.54 exceeded the amounts owed as of December 1, 2021 (\$19,976.54) and as of the end of 2023 (\$24,411.93). (FACC ¶¶ 8, 9, 26, 27, 39, 40.) Equity First levied on the judgment and holds in trust the \$33,696.54 from the levy of the Five Hills bank account, which is more than the \$24,411.93 allegedly owed Equity First. (FACC ¶¶ 28, 41, 42.) Equity First "intentionally" used the default judgment and garnished the bank account for excess amounts above the amount owed "to punish Five Hills" for its complaints about the repair and maintenance expenses and demand for an accounting. (FACC ¶ 42.)

2. Economic Loss Rule

To the extent cross-defendants argue the economic loss rule bars the abuse of process claim, the Court is not persuaded. The abuse of process claim Five Hills contends it is attempting to allege would meet the independent tort principles doctrine described in *Rattagan* as discussed above. To the extent Five Hills' abuse of process claim is based on service of the complaint at a location different from that required by the REA, that aspect of the claim arguably alleges only a violation of a duty under the REA, not an independent tort duty. Five Hills, however, argues in the opposition that the abuse of process claim is based on cross-defendants' detention of garnished funds after the default

judgment in the main action was vacated, contentions are not based on a violation of a contractual duty under the REA. (See Opp. p. 8, ll. 6-13, discussed further below.)

3. Litigation Privilege

Whether or not the FACC states facts sufficient to support the elements of abuse of process is a close case here. Nevertheless, as set forth below, even if facts supporting the elements are alleged, the claim as alleged in the FACC fits the claims barred by the litigation privilege of Civil Code section 47(b) as construed by the Court in *Rusheen*.

Five Hills in the opposition cites *Rusheen*, in which the Court addressed the litigation privilege and its application to the abuse of process claim alleged in that case in the context of an anti-SLAPP motion. The Court explained, "The '[p]leadings and process in a case are generally viewed as privileged communications.' [Citation omitted.] The privilege has been applied specifically in the context of abuse of process claims alleging the filing of false or perjurious testimony or declarations. [Citations omitted.]" (*Id.* at 1058 [emphasis added].) The plaintiff alleged the defendant filed a perjurious declaration of service to obtain a default judgment and then executed on the default judgment.

The Court in *Rusheen* concluded, "On close analysis, the gravamen of the action was not the levying act, but the procurement of the judgment based on the use of allegedly perjured declarations of service. Because these declarations were communications '(1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action' [citation omitted], the litigation privilege applies to the declarations and protects against torts arising from the privileged declarations. [Citation omitted.] Moreover, as Cohen argues, since a party may not be liable for submitting false testimony or evidence in the course of judicial proceedings which are used to obtain a judgment, the party should likewise be immune from abuse of process claims for subsequent acts necessary to enforce it. Otherwise, application of the litigation privilege would be thwarted. Thus, where the gravamen of the complaint is a privileged communication (i.e., allegedly perjured declarations of service) the privilege extends to necessarily related noncommunicative acts (i.e., act of levying)." (*Id.* at 1062.) The Court held the litigation privileged precluded plaintiff from asserting the abuse of process claim in that case.

Five Hills essentially concedes that cross-defendants are protected from liability for the events alleged through cross-defendants' levying the funds from the Five Hills bank account to satisfy the default judgment under the litigation privilege and the *Rusheen* decision. (Opp. p. 8, ll. 6-13.) Five Hills, however, argues that Equity First engaged in conduct "after its privileged communications to the court" that support the abuse of process claim, essentially because Equity First vacated the default judgment but continued to retain the levied funds, including funds that exceeded the amount Equity First allegedly admitted was owed. (Opp. p. 8, ll. 6-13.)

This argument shifts the basis of the abuse of process claim to acts by cross-defendants and events after the default judgment was vacated, which is not what is alleged in the FACC. There is no allegation in the FACC that the default judgment was vacated. The specific allegations supporting the second cause of action are based on Equity First's garnishing Five Hills' bank account and wrongfully "obtain[ing]" the default judgment. (FACC ¶¶ 40-42.) A fair reading of the FACC is not that the basis of the abuse of process claim is Equity First's retention of some or all of the levied funds after the

default judgment was vacated in order to "punish" Five Hills for its complaints about the amount of the maintenance and repairs, which is what Five Hills now contends apparently in light of the litigation privilege and the holding in *Rusheen*.

The Court interprets Five Hills' opposition as an explanation of what it may be able to allege to state an abuse of process cause of action if given leave to amend. The Court **sustains** the general demurrer to the second cause of action, **with leave to amend**.

**Law & Motion
Add On**

19. 9:00 AM CASE NUMBER: N25-1850

CASE NAME: ADEL PARK, LLC VS. ANGRY GROUP, LLC

JUDGMENT

FILED BY: ANGRY GROUP, LLC

TENTATIVE RULING:

This matter is set for hearing on Defendant's motion for summary judgment Under California Rules of Court, rule 3.1351(b), a party may oppose the motion orally at the hearing or by filing and serving a written opposition at least one court day before the hearing. Because any written opposition is not due until the day before the hearing, the court cannot issue a tentative ruling in advance. **All parties are therefore required to appear, either in person or by Zoom.**

If a written opposition is filed, the court requests that a courtesy copy be emailed to the department in advance of the hearing, if practicable, with a copy to all opposing parties or their counsel. The email should indicate that the court has authorized this courtesy copy for this matter.